MahWengKwai & Associates

ADVOCATES AND SOLICITORS

Speaker
MICHAEL KOH
Partner

Moderator
NOELLE AU YONG
Associate

Wed 13 August 2025
03:00 pm (GMT +8)

mwka.com/talks

MWKA Online Talks

Developer's Responsibility to Rectify Patent and Latent Defects

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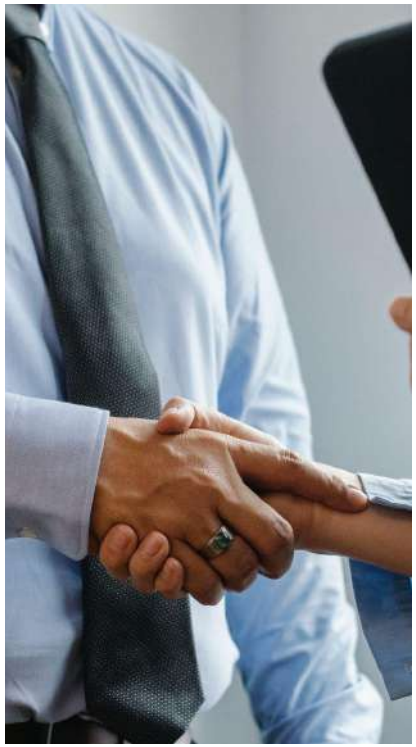

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- To share knowledge, raise awareness, encourage networking
- For clients, potential clients, in-house counsel
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- Upcoming MWKA Online Talk:
  - 20.8.2025: **Non-Disclosure in Insurance Contracts**

Talk Points

- Understanding the Defect Liability Period (DLP)
- Obligations & Standards during the DLP
- The Difference between Patent and Latent Defects
- Limitation Periods & Claims Outside the DLP

Defect Liability Period (DLP)

How Long?

Any defect, shrinkage or other faults in the said Parcel or the said Building or the common property which becomes apparent within **twenty-four (24) months after the date the Purchaser takes vacant possession**

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When does does a Purchaser take Vacant Possession?

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When does a Purchaser take Vacant Possession?

(2) The delivery of vacant possession by the Developer shall be supported by a certificate of completion and compliance and includes the handing over of the keys of the Parcel to the Purchaser.

(3) Upon the expiry of thirty (30) days from the date of service of a notice from the Developer requesting the Purchaser to take possession of the said Parcel, whether or not the Purchaser has actually entered into possession or occupation of the said Parcel, the Purchaser shall be deemed to have taken delivery of vacant possession.

Lawrence Lim Cheng Poh & Ors v Wealh Plateau Sdn Bhd [2022] MLJU 3390

Brief Facts

The case involved 71 Sale and Purchase Agreements (SPAs) under Schedule H of the Housing Development (Control and Licensing) Act, where the defendant (Developer) agreed to sell residential units to the plaintiffs (Purchasers).

Issue of Date of Delivery:-

The Developer argued that vacant possession was given to all Purchasers on 30.3.2022, i.e the date of the Notice of Vacant Possession.

The Purchasers assert delivery dates ranging from 13.4.2022 to 29.4.2022. None exceed 30 days after 30.3.2022, the Notice of Delivery of Vacant Possession. i.e the date they took the keys

Lawrence Lim Cheng Poh & Ors v Wealh Plateau Sdn Bhd [2022] MLJU 3390

Court Held:-

It rejected the Developers contention.

It further held

[30] In the considered opinion of this Court, the effect of the relevant sub-clauses **27(2) and 27(3)** of the aforesaid Schedule H sale and purchase agreement on delivery of vacant possession is that when a post-completion Notice of Delivery of Vacant Possession has been issued by the developer to the purchasers, **a purchaser who takes the keys and vacant possession before the expiry of the 30 days thereafter is regarded as having taken delivery of the vacant possession on the day he/she takes actual vacant possession, while another purchaser who takes the keys and vacant possession after the expiry of the 30 day period is deemed to have taken vacant possession on the last day of the 30 days period.**

The Contractual Obligation

Express Contractual Obligations

- Any defect, shrinkage or other faults in the said Parcel or the said Building or the common property which becomes apparent within twenty-four (24) months after the date the Purchaser takes vacant possession of the said Parcel and which are **due to defective workmanship or materials** or; the said Parcel or the said Building or the said common property **not having been constructed in accordance with the plans and descriptions as specified in the First and Fourth Schedules** as approved or amended by the Appropriate Authority, shall be repaired and made good by the Developer at its own cost and expense within thirty (30) days of the Developer having received written notice thereof from the Purchaser.

Implied Contractual Obligation

- (a) that the builder will do his work in a good and workmanlike manner;
- (b) that he will supply good and proper materials; and
- (c) that the building will be reasonably fit for human habitation.

Standards

- Published industry's standards may sometimes assist.

- Court have recognised:-
  - UBBL- Minimum Standards
  - SPAN- Water proof
  - BSI- Concrete
  - CIDB- Qlassic -CIS 7.

Standards

- KC CHAN BROTHERS DEVELOPMENT SDN BHD v TAN KON SENG & ORS [2001] 6 MLJ 636 (“KC CHAN”)
  - UBBL
- Badan Pengurusan Bersama Tropicana Bay Residence @ Penang World City v Mutiara Metropolis Sdn Bhd & Ors [2024] MLJU 1948
  - Suruhanjaya Perkhidmatan Air Negara (SPAN)
- Helena a/p K. Ghanamuthu v Fabulous Range Sdn. Bhd. [2019] MLJU 1601- CIS7 (CIDB Standards)

What DLP does not cover?

- ✗ Maintenance/Lack of it
- ✗ Wear and tear
- ✗ Improper Use
- ✗ Caused by other contractors.

Contractual Framework

- Any defect, shrinkage or other faults in the said Parcel or the said Building or the common property which becomes apparent within twenty-four (24) months after the date the Purchaser takes vacant possession of the said Parcel and which are due to defective workmanship or materials or; the said Parcel or the said Building or the said common property not having been constructed in accordance with the plans and descriptions as specified in the First and Fourth Schedules as approved or amended by the Appropriate Authority, **shall be repaired and made good by the Developer at its own cost and expense within thirty (30) days of the Developer having received written notice thereof from the Purchaser.**

Contractual Framework

(2) If the defect, shrinkage or other faults in the said Parcel or the said Building or the said common property have not been made good by the Developer within thirty (30) days referred to in subclause (1), the Purchaser shall be entitled to carry out the works to repair and make good such defect, shrinkage or other faults himself and to recover from the Developer the costs of repairing and making good the same and the Purchaser may deduct such costs from any sum which has been held by the Developer's solicitors as stakeholders under item 5 of the Third Schedule, provided that the Purchaser shall, at any time after the expiry of the period of thirty (30) days, notify the Developer of the costs of repairing and making good such defect, shrinkage or other faults before the commencement of the works and shall give the Developer an opportunity to carry out the works himself within thirty (30) days from the date the Purchaser has notified the Developer of his intention to carry out the works and provided further that the Purchaser shall carry out and commence the works as soon as practicable after the Developer's failure to carry out the works within the said thirty (30) days. In such an event, the Developer's solicitors shall release such costs to the Purchaser from the stakeholder sum held by the Developer's solicitors under item 5 of the Third Schedule within thirty (30) days after the receipt by the Developer's solicitors of the Purchaser's written demand specifying the amount of such costs.

Flow

30 Days	30 Days	As Soon As Practicable
Step 1	Step 2	Step 3
- First Notice - Specify Defects - Developer must rectify within 30 days	- Not Completed, Purchaser Must Give Notice that: - He intends to fix it himself - How much it will costs him - That the developer has another 30 days to fix	Commence As Soon as Practicable after 30 days expire

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Contractual Framework

15.5 Notwithstanding Clause 15.4, the Architect may at any time during the Defects Liability Period issue an AI requiring any critical Defects which need urgent rectification to be made good within a reasonable time specified by the Architect at the Contractor's cost. If the Contractor fails to attend to such Defects within the time specified by the Architect, the Employer may employ and pay other Person to rectify such Defects and all costs incurred shall be set-off by the Employer under Clause 30.4.

15.4 Any Defects in the Works which appear within the Defects Liability Period shall be specified by the Architect in a schedule of defects which he shall deliver to the Contractor not later than fourteen (14) Days after the expiration of the Defects Liability Period. The Contractor shall make good the Defects specified within twenty eight (28) Days after receipt of the schedule of defects (or within such longer period as may be agreed in writing by the Architect) at the Contractor's cost. If the Contractor fails to attend to the Defects, the Employer may, without prejudice to any other rights and remedies which he may possess under the Contract, employ and pay other Person to rectify the Defects and all costs incurred shall be set-off by the Employer under Clause 30.4. If the Architect with the consent of the Employer, instructs the Contractor to leave the Defects in the Works, then an appropriate deduction for such Defects not made good by the Contractor shall be set-off by the Employer under Clause 30.4.

Claims After the DLP

Breach of Contract v Negligence

- **DLP clause in the SPA cannot be read to limit claims for breach of contract to 2 years.**

Fong Wan Realty Sdn Bhd v PJ Condominium Sdn Bhd [2009] MLJU 1428

> *"As for the law in this regard, it is now accepted and settled that the* ***defect liability clause does not take away the right to sue in respect of defects which were not discoverable****. Even if the defects were discovered within the defect liability period, the provision of an express remedy for making good the defects does not take away the rights of the purchaser which follow at common law in a case of breach of contract. The reason for this is that the provisions in the Agreement are statutory requirements governed by the Housing Developers (Control and Licensing) Act 1966 and the regulations made thereunder. The relevant regulations are the Housing Developers (Control and Licensing) Regulations 1989 and the Housing Developers (Control and Licensing) Amendment Regulations 1994 and 1995. These provisions are there for the protection of the purchaser and cannot be used to limit their rights under common law. Their purpose was to improve and supplement common law remedies*

Breach of Contract v Negligence

2. ***The Ara Joint Management Body v Mammoth Land & Development Sdn Bhd [2017] MLJU]***,

3. held that there is no bar to pursuing an action in tort for negligence even after the expiry of the DLP provided it is brought within 6 years from the date the cause of action arose.

Latent Defects v Patent Defects

Patent Defect

- Patent defects are defects that are apparent and discoverable upon reasonable inspection or observation, without requiring specialised expertise or invasive testing. These are the ones that are more commonly noticed and therefore reported to the contractor prior to completion or during the defect liability period.

- They are visible flaws, such as cracks or poor finishing, identifiable during the defects liability period

Latent Defects

- latent defects cannot be discovered by either reasonable inspection or testing even by a reasonably careful person skilled in the works in question

- These are inherent in the works themselves and become apparent or noticeable or capable of being discovered only when they become patent

Challenge of Latent Defects

Section 6 of the Limitation Act 1953

Limitation of actions of contract and tort and certain other actions

6. (1) Save as hereinafter provided the following actions shall not be brought after the expiration of six years from the date on which the cause of action accrued, that is to say—

(a) actions founded on a contract or on tort;

(b) actions to enforce a recognisance;

(c) actions to enforce an award;

(d) actions to recover any sum recoverable by virtue of any written law other than a penalty or forfeiture or of a sum by way of penalty or forfeiture.

Section 6A of the Limitation Act

Limitation of actions to claim damages for negligence not involving personal injuries

6A. (1) Notwithstanding subsection 6(1), this section shall apply to any action for damages for negligence not involving personal injuries, where the starting date for calculating the period of limitation under subsection (2) falls after the date on which the cause of action accrued.

(2) An action to which this section applies shall not be brought after the expiration of three years from the starting date if the period of three years expires later than the period of limitation prescribed in subsection 6(1).

Section 6A of the Limitation Act

(3) Notwithstanding subsection (2), no action shall be brought after the expiration of fifteen years from the date on which the cause of action accrued.

C bought a house from *D* in 2000. In 2017, *C* discovered a crack which damaged the walls badly. A building report made by a consultant revealed that the cracks had occurred in 2001, one year after *C* moved into the house. *C* cannot commence an action because he has already exceeded the fifteen-year limitation period.

"Starting Date"

(4) For the purposes of this section—

(a) "starting date" means the earliest date on which the plaintiff or any person in whom the cause of action was vested before him first had both the knowledge required for bringing an action for damages in respect of the relevant damage and a right to bring such action;

"Knowledge required for bringing an action"

(b) "knowledge required for bringing an action for damages in respect of the relevant damage" means knowledge of—

(i) the material facts about the damage in respect of which damages are claimed;

(ii) other facts relevant to the current action:

(A) that the damage was attributable in whole or in part to that act or omission which is alleged to constitute negligence;

"Knowledge required for bringing an action"

(iii) includes the knowledge which the plaintiff or any person in whom the cause of action was vested before him might reasonably have been expected to acquire—

(A) from facts observable or ascertainable by him; or

(B) from facts ascertainable by him with the help of appropriate expert advice which is reasonable for him to seek,

Cekap Mesra Development Sdn Bhd v Che Seman bin Abdullah [2021] MLJU 2292

June 2002

Vacant Possession

After Vacant Possession, Defects Discovered and Recurrend

December 2003

DLP Period Ends

This SPA provided only 18 months of DLP. Defects were rectified but recurred repeatedly over the years

April 2009

Expert Report

Sometime in 2009, the purchaser engaged an expert. Report says defects due to failure of Structural Support for dead and live loads.

January 2021

Plaintiff Files Law Suit

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Questions?

Upcoming Talks

Date	Topic	Speakers
20 August 2025 (Wednesday)	Non-Disclosure in Insurance Contracts	Edwin Raj & Kirbasyini Chandran

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Thank you!

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